

A DAY IN THE LIFE OF A VENTURE CAPITALIST

For every one of my companies, there's always something else I could do.

—John Jarve, Menlo Ventures¹

My day is fighting fires, frankly. You wake up in the morning, and there are three new things that you didn't have yesterday that are urgent.

—Jeff Brody, Redpoint Ventures

A venture capitalist (VC) plays many roles—investor, business owner, board member, recruiter, consultant, mentor, and fundraiser, to name just a few. This note describes some of the activities that fill the day of general partners in venture capital firms. It is not intended to be exhaustive, since some VCs may spend more or less time in specific roles than others, but it gives a sense of their priorities and breadth of activity. This note is based on interviews with many experienced VCs, who are quoted extensively throughout.²

In contrast to a common perception of those outside the industry, an experienced VC will typically spend less than half his/her time in activities related to new deal flow and potential new investments. The largest allocation of time is spent working with existing portfolio companies. Firm management, fundraising, and investor relations take up the balance of a VCs working day. This time allocation may vary considerably, however, particularly based on the individual's level of experience. For instance, a new venture capitalist will have few portfolio companies, thus spend relatively little time working with existing investments. A partner at a new venture firm may need to spend considerably more time raising money than a partner at a well-established firm with longstanding investors.

¹ Quotations are from interviews with the author (Hoyt). Brief descriptions of the firms represented by quoted individuals are shown in **Exhibit 1**.

² This note focuses on experienced partners in venture capital firms. Many firms have associates who provide assistance in exploring new investment opportunities.

David Hoyt, Theresia Gouw Ranzetta, and Professor Ilya Strebulaev prepared this case as the basis for class discussion rather than to illustrate either effective or ineffective handling of an administrative situation.

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The allocation of time will also vary somewhat depending on the phase of the firm's current fund; partners in a fund that is several years old will need to work on raising their next fund, while those who have recently completed raising a new fund will be freed of those tasks. Finally, at any particular point in time, urgent tasks (e.g. crises at portfolio companies, due diligence on a promising investment opportunity, or tasks driven by events such as offers to buy portfolio companies) will force other items off the day's agenda. As a result of these considerations, how a venture capitalist allocates time will vary from individual to individual, day to day, firm to firm, and during the life of each fund.

A 2003 survey of 26 venture capitalists found that the amount of time spent by respondents working with portfolio companies ranged from 27 percent to 65 percent, depending on how many boards an individual sat on. The average survey respondent reported spending 45 percent of time on new investments, split about evenly between sourcing and due diligence.³ (See **Exhibit 2** for details.) The average number of board memberships of venture capitalists has increased considerably between 2003 and 2012, according to those interviewed for this note, suggesting that an even greater percentage of time is spent on supporting portfolio companies in 2012.

VENTURE CAPITAL CYCLE

The venture capital cycle starts with finding new potential investments, evaluating them, and making investment decisions. The cycle then moves to assisting the company. If the company is successful, the VC will make several follow-on investments, each requiring evaluation and an investment decision. The VC firm will realize a return upon a liquidity event, through sale to another company or to the public via an IPO, often seven or more years after the initial investment. In many cases, the cycle will begin again when the VC funds the company's entrepreneur in a new venture.

A venture capitalist acts as an individual contributor for some of these tasks, while in others s/he is part of a team. For instance, finding new investment opportunities is an individual task, while analyzing potential deals and making decisions are processes which benefit from multiple viewpoints, in which partners in a venture firm work together as a team. Supporting the portfolio company is largely an individual task. Many aspects of firm management, such as determining the investment strategy, are team functions.

NEW DEAL FLOW

A critical activity for all venture firms is making new investments. Due to the demands of supporting previously funded companies, the experienced venture capitalists interviewed estimated spending 20-40 percent of their time on activities related to new deals. Don Wood, of Draper Fisher Jurvetson (DFJ), stressed the importance of generating good deal flow:

³ Christopher Rust, "The Role of Human Capital Assessment (HCA) in Venture Capital Due Diligence," Master's Thesis for the Engineering Management College of Engineering and Applied Science, University of Colorado, Boulder, November 2003.

You can be as smart and insightful as you want to be, but if you never see the opportunity, you never have a chance to invest in the next Facebook. So, the first trick is sourcing, which is many different things we do to ensure that we have a large deal flow. Some of it we proactively go after. Others come to us. Our team tries to stay in touch with thousands of entrepreneurs, founders, students, and technologists even when they are not starting companies ... just so we will be there when they are.

On average, a partner in a firm focusing on early stage investments will add one or two new companies to his/her investment portfolio each year, out of the thousands of proposals submitted to the firm or uncovered through networking by the VC or associates at the venture firm. Despite a highly selective investment process, VCs interviewed for this note indicated that most returns for any venture fund come from a very small number (sometimes only one or two) of investments. Many investments generate only small returns, while a significant number result in partial or total losses.

Thus, the overall return of a VC portfolio is highly dependent on a relatively small number of companies, and small improvements in investment decision making can lead to substantial improvements in fund performance. Jeff Brody, a partner at Redpoint Ventures, observed that in any given year, there are about 10 companies, at most, that would eventually result in exceptional investment returns (although there was great uncertainty as to which 10 companies would be the big winners). “We’re going to invest in 15 deals in a year, and we’re going to look at maybe 2,000. So, our job is to make sure we’re in our unfair share of those [exceptional companies].”

Generating Deal Flow

There are a wide range of activities that a VC can undertake in search of attractive investments. Several VCs described identifying an emerging business sector and researching it by investigating every company already in the sector. In the best circumstance, the sector was so young it did not even have a name, and none of the companies in it had yet received any institutional investment. In visiting each company, and investigating the potential market, the VCs found the one company they wanted to invest in. John Jarve of Menlo Ventures described such a process used for the voice mail market in the 1980s (resulting in an investment in Octel Communications), the Internet in the 1990s (with an investment in UUNet), antisense and oligonucleotide technologies (for pharmaceutical development, resulting in Gilead, a company founded by a Menlo Ventures entrepreneur in residence), and semantic web in the 2000s (resulting in an investment in Siri).

A VC may visit established companies engaged in activities that might stimulate emerging markets. For instance, a VC interested in emerging mobile applications might visit Google to meet people developing the Android platform and learn about third-party developers that are creating exciting products for their platform. This provides information about emerging leaders they might eventually invest in, but the relationship also serves the company—in this example, Google would want to support people and companies that are furthering Google’s interests.

In VC firms that have associates, a general partner might bring an associate to such a meeting—the associate might relate to an entry level product manager at Google as a peer, while the partner meets with people at higher levels. Also, young people at companies like Google might be potential entrepreneurs in the future—they will have seen many others starting companies, and might want to start their own at some point. As Theresia Gouw Ranzetta of Accel Partners observed, some young entrepreneurs are more likely to find an associate more approachable as a first point of contact than a senior partner. “As an associate, a huge part of your job is networking, which is somewhat thematically driven. But also, [there are] types of people you want to meet—like smart 25-year-old computer developers from top schools, or smart, recent MBA grads who are interested in working at start-ups.”

To illustrate the value of networking within companies engaged in innovative activities, Peter Fenton of Benchmark Capital keeps a list of people that he would like to meet if he has free time—a list he reviews weekly. One of the people on his list was Bret Taylor, who at the time was at Google, having been a co-creator of Google Maps. Fenton recalled that Taylor had been on his list for about a month, when he decided to try to arrange a meeting, “So I met with Bret and I said ‘Bret, you’ve got to come here as an entrepreneur in residence. You’re everything I thought you were, and then some.’” Taylor came to Benchmark as an entrepreneur in residence, where he founded a company that was later acquired by Facebook.

VCs attend tradeshows and conferences as part of their activities related to new deal flow. At these events they meet entrepreneurs and stay abreast of developments in their areas of interest. They may also participate on panel discussions, putting themselves in an environment where they are likely to meet entrepreneurs—in fact, several commented that brand recognition is important for venture capitalists, as it can attract entrepreneurs. Speaking at conferences and participating in panels are thus investments of time that can help build future deal flow.

Several early stage VCs commented that by the time an idea is openly discussed at a conference or trade show, or even has a sector name, it may be too late to make a good investment. However, they can meet people at the forefront of new technologies, and get a sense of future directions that may provide interesting opportunities. Peter Ziebelman of Palo Alto Venture Partners noted that VCs generally aren’t looking for new companies at conferences, but rather, “You’re looking for people with interesting ideas, or new trends that point to a paradigm shift or some sort of difference in thinking about a very big problem.”

Most VCs have areas of deep expertise, in some cases developed through years of experience working for companies in the field. They continually explore the emerging developments in these fields. Ammar Hanafi of Alloy Ventures, with an extensive background as an information technology executive, observed:

I spend a fair bit of time thinking about what’s happening with cloud computing and mobile infrastructures. Similarly, Mike [Hunkapiller, an Alloy partner with extensive experience as a life sciences instrumentation entrepreneur and executive] is obviously big on research tools, genomics, and diagnostics. We spend a lot of time understanding our individual sectors and developing deep

domain expertise in those areas. From there, we go on to work collaboratively within our group.

Another source of potential entrepreneurs is people at small companies that have recently been bought. As Gouw Ranzetta noted, “They’re not going to leave right away, but chances are in 12 to 24 months, some or most, or all of that founding team and management team will leave, and they will go start something else. So, you better start to get to know them. ‘Congratulations on your acquisition. Hey, when can I come buy you coffee?’”

A venture capitalist never knows where a good opportunity will come from. Ziebelman described hearing about a company from another venture capitalist, then again from a friend. Both said that the founder did not want venture capital. The company had a very low profile, but addressed a potentially huge market. It had solved a difficult problem that was essential to success, but was long thought to be intractable. “I thought: wow, these are two people I trust. I respect their opinion and they’re pointing to the same idea—the same company. I need to meet this guy, even if he doesn’t want VC. So even to just get the meeting was problematic, because the founder said ‘I don’t want any VC’ and that is my job at Palo Alto Venture Partners.” His friend gave an endorsement that Ziebelman was willing to work with the entrepreneur on his terms. Ziebelman also demonstrated that he could provide value beyond the cash investment. They were able to work out an investment on terms that met the founder’s needs. The investment turned out to be extremely profitable. Ziebelman noted that seeking out entrepreneurs who do not want venture capital can result in excellent investments: “In fact, in some cases these reluctant founders made me more interested in the company, because it means it’s a less crowded market for me, and perhaps a really very novel solution to a big problem.”

Several VCs noted that they had funded the same entrepreneurs for multiple ventures—after one successful start-up, they had funded the entrepreneur’s next company, in some cases repeating the cycle several times. Wood observed that he had funded one entrepreneur three times. “He is three for three, and if he comes to us with his fourth one, we’re probably going to fund him. So, returning successful entrepreneurs who are still hungry, for the right reasons, are prime candidates. We pay close attention to key team members of successful companies. We also pay close attention to successful people who are referring somebody else.”

Brody reiterated the importance of networking: “Building a strong network is important. You want to be perceived to be the guy that can add value. And so, you’ve got to get a lot of referrals from entrepreneurs and executives in companies you funded. Guys you’ve met with in the past and didn’t fund—those are always the most satisfying to get referrals from. Lawyers, accountants, the usual network of people.” From that network, the VC may begin to work with an entrepreneur on an idea. Hanafi described working with a previously successful entrepreneur on ideas for a new start-up: “A company starts with a relationship, an idea, an expertise, and from that a business plan evolves. In this particular case, because the founder had resources of his own, he bootstrapped a fair bit before we did a full Series A with a couple of other investors.”

To summarize, networking is an essential factor in a venture capitalist’s success. VCs thrive in the market for new ideas and talented entrepreneurs. It is a highly uncertain environment, so being the first to discover a major opportunity, or a strong team, is paramount.

Due Diligence

Venture firms receive thousands of investment requests each year, in addition to opportunities generated through their own research. These enter the top of a “decision funnel” and pass through a series of evaluations during which only the most promising, and best fits with the VC’s interests, are retained. The VC will eventually conduct detailed due diligence on only a handful of companies before making the final investment decisions. Fenton observed that “I probably meet, on average, three to five companies a week. I probably filter through 30 to 50 a week on a pretty rough and crude heuristic of ‘okay, I know what I like.’”

Screening of funding requests may be done by either partners or associates. In a company which uses associates to screen business plans, partners may follow up directly on high-potential proposals sent directly to them, while associates follow up on the large mass of opportunities. The decision of a partner to follow up with an entrepreneur will be largely based on some mix of: the source of the proposal, the strength of the entrepreneur, and the growth prospects of the company. A strong referral from the CEO of a successful portfolio company, or someone else whose opinion is highly valued, will likely receive a return call from the VC. A referral from someone with less insight into the business, regarding an investment in which they do not know any of the founders or management, might be rejected or forwarded to an associate to follow up with a screening phone call or do an independent evaluation of the business plan.

A VC might meet with 10 entrepreneurs for every hundred proposals. One, or fewer, might be funded, with each partner adding an average of one to two new portfolio companies per year. Seed investors might fund more companies—each investment is a small amount of money, and the probability of success is low, so more investments will be made. Firms that specialize in large, private equity deals will likely take on fewer new portfolio companies, because each deal tends to be larger and more complicated.

Some work related to new deal flow is episodic. Each VC partner may conduct intensive due diligence on three to four companies for each investment made. These investigations require full-time attention. Gouw Ranzetta estimated that about 10 percent of her time was dedicated to detailed due diligence:

You need to call the references. You need to spend a day and a half at the company, meeting all the important executives, really pushing on their roadmap for half-day, then spending the other half-day with whoever’s doing their budgeting and finances, so you can have comfort in what their projections are for the rest of the year—if it’s a company that even has projections.

Sometimes they do [have projections], especially a lot of consumer companies. The great news is now a lot of them have tons of metrics, even if they’re pretty early. Then, you’ve got to go over there and comb through all that data. Not just the traffic, but what’s the actual engagement? Where are they engaging? What features? How viral is it? How addicted are [the users]?

When visiting a company as part of the due diligence process, the VC can also see factors that provide important information for the evaluation process. Ziebelman cited one example in which

“as I walked into the office, the buzz you could literally hear as the sales guys were making sales told me right then and there I needed to make the investment. I wouldn’t have known about the ‘buzz factor’ if the founders had met me at my office in Palo Alto.” In contrast, he related, at a visit to a different company everything went well in the formal PowerPoint presentation, but as Ziebelman was taking his leave, the founder looked up at the building and told him that his goal was “to fill this building with people.” As Ziebelman recalled, “What I reflected on is that he didn’t want to change the world with his product. He also didn’t want to make us both a lot of money as his top goal. He wanted to fill this building. This investment was not for me. You can only get these additional clues by visiting and giving the founders time to tell their story, and making sure you’re listening and looking for those clues.”

Ziebelman related another useful perspective based on his experience. When he graduated from business school he was ready to take another entrepreneurial position, but a VC firm made an offer he could not refuse. His first investment as a VC was in this entrepreneurial company that he would have joined as part of the founding team. He related how this experience gave him a useful perspective on selecting companies to invest in:

Use your gut as the ultimate indicator of whether I should invest. I know they are asking for just an investment, but I ask myself, ‘would I want to join this company?’ This gut feeling decision should be able to override the intellectual decision of analyzing due diligence and looking at forecasts for market size and product growth. This method of a ‘gut check’ has been a very helpful way to look at companies. When you’re picking two companies out of a thousand, it is a very efficient indicator.

MONDAY MEETINGS, AND DECISION MAKING

Venture capitalists hold weekly partner meetings, typically on Mondays. The specific agenda varies from firm to firm, but the bulk of the meeting is typically spent with presentations by companies seeking funding, followed by a discussion of each potential investment among the partners. Before a company is asked to present at the Monday meeting, it will have been carefully vetted by one or more partners, who will sponsor the company before the full partnership. Several VCs indicated that they usually have three company presentations at each Monday meeting, each lasting about 1.5 hours, sufficient for the partners to question company executives in some detail. After meeting with the company, the partners discuss the opportunity among themselves.

The decision making process varies from firm to firm. Some firms make decisions based on achieving a consensus, while others use voting processes that allow for making an investment even in the face of dissent. In fact, several firms observed that the best investments tended to be those where there was disagreement among partners. Brody said, “It does seem that the most controversial deals are generally our most successful. The ones where there’s group think and consensus about doing it are not necessarily the best. And then when there’s group think about not doing it, they’re not necessarily the best either. Those are the ones we missed.” Wood noted that new investments do not need to be unanimously approved by the partners involved in the decision-making process at DFJ, saying, “We have a point of view that if everyone agrees, there’s probably something wrong. It’s probably not edgy enough. We like things that make

some people a little bit uncomfortable. They just tend to be the interesting ones.” Fenton reflected, “Everything I’ve done that I’ve regretted felt obvious [at the time]. Everything I’ve done that I’ve been proud of has tortured me when we committed. There’s something about any good investment that isn’t obvious, be it the valuation, the model, or the team, to name a few of the areas of dissonance commonly present.”

Brody agreed that it was easy to pass on one of the few companies that would eventually become a huge success: “Passing on one of the 10 great deals, that’s with you forever. Those are the ones where everyone who sees it goes, ‘No, that guy’s crazy,’ or, ‘The market’s small,’ or, ‘They’ll never monetize it,’ and everybody goes, ‘Yeah, you’re right, let’s pass.’ Shutting down a failed company that everyone agreed was a great investment when you first saw it is only with you for a few years.”

The term “deal” is commonly used by venture capitalists to describe their investments. One venture firm interviewed strongly objected to this term, however. Fenton pointed out that at Benchmark, “We don’t call them deals, or projects. These are two terms we try to eradicate from our vernacular. Projects and deals suggest a kind of [transactional] relationship that we abhor.” Peter Ziebelman of Palo Alto Venture Partners echoed this concern over the transactional perspective of some venture capitalists:

There is often a transaction mentality in our business. There seems to be a competition to get the absolute best price at each round. One reason I’ve been successful in our business is because I look at the investment process as a longer-term relationship, exactly like you do in the operating world. For example, you wouldn’t try to get the last penny out of one of your suppliers, because you know there is going to be another order down the road. If we create a business relationship that benefits one side, then the next time the benefits may swing more to the other side. I think there is a similar way to do venture capital, where you look at each transaction as just one part of a longer relationship you’re having with that CEO and the other founders involved and the other investors—rather than maximizing my side of the transaction.

Several mentioned the importance of luck. With a very small number of investments generating huge returns, and a large number generating losses or small returns, stumbling on a break-out winner involves an element of luck. As Ziebelman noted: “I understand you make your own luck, but I think luck is huge, and if anybody doesn’t think that, you’re thinking too much of yourself.”

Making the right investment decision is the most important, and hardest, decision that venture capitalists make. With only a small number of companies each year producing exceptional returns, it is important to increase the probability that a firm’s portfolio will include as many of these as possible. However, the amount of time required to work with the company after the investment is made places additional pressure on the decision. Brody observed:

The investment decision is one of the toughest. This is like getting married. When you make an investment decision, chances are pretty good that you’re

going to be with this guy or this team for seven to ten years. And if you don't have good chemistry, and mutual respect, and shared conviction, it can be a long time [since you'll have some tough patches]. It's really easy to say 'yes' to an exciting company, but that is a huge commitment of a meaningful portion of your life. I take those really seriously. I don't ever lightly make an investment decision.

Fenton put it this way:

Every investment requires a leap of faith, an emotional act that's not pure reason, and that's got to carry you through in the inevitable many months, sometimes years, of horrific bad stuff that comes with the company. And you've got to have that energy, that sustaining belief to carry you through, because if you don't, then you regret having done it. So when I have regret, it's when I didn't have that, and I'd logically talked myself into [the investment] and checked the boxes. So it was really helpful [to have a failed investment] that taught me, 'don't invest like that.' You have to have the love affair, and if you don't, then you shouldn't do it.

SUPPORT OF PORTFOLIO COMPANIES

About half (or more) of an experienced VC partner's time is spent in support of portfolio companies—a fact not often realized by those outside the industry. As Brody said, "When we make a new investment, we tell the entrepreneur or the CEO that we work for them. Their job is to tell us what to do. And if there's any resource they need, they don't have, we'll just do whatever we can within our network to provide that resource, whether it's introductions or hiring or advice and everything else."

An experienced VC may be a member of as many as 8 to 10 boards at any time, and may be an observer on still others. This number decreases as the firm exits earlier investments, and increases as new investments are made. Time spent with portfolio companies may be divided about evenly between board meetings (and related support) and helping companies with recruiting. In addition, a smaller amount of time is spent on episodic activities such as helping new portfolio companies with their first budgeting cycle as a funded company, helping a company raise its next round of funding, or with activities related to mergers, acquisitions, or public offerings.

Hanafi stressed the importance of his commitment to existing investments: "The boards I serve on are my primary responsibility before new things. You have to make sure if there are any issues that have to be dealt with, that's priority number one." Others noted that while existing investments may be a top priority, so is the responsibility to the firm's partners to find those few good investments every year that will generate exceptional returns. Brody observed, "The problem is you've got two or three top priorities in this business. I would never drop anything. I've probably missed five board meetings in my life. I don't miss them. But, we have what's called 'Code Red' around here. When a hot deal comes in, you've got to drop everything."

Board Membership

The primary ongoing support of portfolio companies is board membership and its associated responsibilities. Each early stage portfolio company will have board meetings every four to six weeks, evolving to quarterly board meetings as they become more established, requiring both preparation and attendance. Venture capitalists interviewed estimated that each board meeting takes about seven hours, including preparation, local travel, and the meeting itself. When multiplied by an average of about 10 boards (on which the VC is either a member or active observer), this represents a large investment of time. If the VC is on a board of an out-of-town company, the time commitment is even higher. Fenton observed that he spends “a day or two a week in board meetings. We try and do a board dinner before every board meeting, to build rapport. I will always talk to the entrepreneur before the board meeting and after the board meeting, both to get what’s on his mind or her mind and then also make sure after the meeting there is clear signal back for how it went.”

Yet, the most important work of a board member generally does not occur at the meetings themselves. Jarve noted that, “If you’re a director of a company, most of the stuff that happens doesn’t happen in the board meeting. The board meeting’s a time to hear from the entire management team and get a sense of what is going on in the company. But if you look at the decisions that have the greatest impact, it’s pretty rare that those decisions occur in board meetings.”

While describing their activities in different terms, most VCs interviewed told of being a sounding board for company CEOs and other executives, sharing insights on the market, providing insight on things that are working well for other portfolio companies, and helping them deal with critical issues outside the setting of the board meeting.

Ziebelman put it this way:

I think my biggest contribution to the success of the company (after I have made the investment) is to hold up a ‘mirror’ to the CEO. What I mean by mirror is the chance for the CEO to see herself or himself, and talk about their next strategic move, or reconsider a pending management decision. It can be a very difficult thing to do. Because typically in a small company, if you have a big issue that the CEO wants to talk about, he or she can’t discuss it with their management team because it may involve them, or it’s premature to talk about it with them. The trick is carving out the time and surfacing the key issues. Once that is done, the CEO has the smarts to figure things out, but usually they just need to be asked a question that brings these issues out, then hear themselves talk about it, and then they generally do their own course correction.

Hanafi expressed a similar sentiment: “I think the most valuable asset you have as a venture board member is the trust of your CEO so you can be the go-to guy as a sounding board, to help him or her develop a strategy and think through questions.”

Fenton seeks to be the first person an entrepreneur thinks of when an issue arises that requires outside counsel. “We want to be so deeply stitched into their inner dialogue around company-

building that we're, if you will, part of their thought process." He related that the previous night he had been on the phone until one o'clock in the morning with a CEO who was contemplating replacing a senior vice president, something the two had been thinking about for many months.

Fenton also related an example of providing support in working with Twitter to think through ways to build commerce into their advertising unit. "It's an area I'm actually quite passionate about. So, last week, I spent a couple of hours with the team building commerce at Twitter, where they presented to me their plans. They asked for critical thinking against it. We challenged their thinking in some of the areas that they were working on, and how they were thinking about it."

This relationship with portfolio companies, if successful, results in a considerable investment of time on the part of the venture capitalist, particularly if s/he is on a large number of boards. Brody observed that, "For the companies we've invested in, all the entrepreneurs are twenty-four-seven, and so you are, too, by nature. I get calls over the weekend, night, early morning, whatever. When they need you, you've got to be there."

Several VCs also noted the importance of limits to their involvement. Ziebelman said, "I think the mistake many VCs make is they [still] think they're the operating guys. I think the worst thing you can do to a CEO is to start being their operating manager or helper in some way. You can offer advice, but when you start taking on the role as if you're the manager, you've started a process that is harmful to the CEO and yourself as a board member. You start to lose your objectivity." Wood agreed, saying, "When you're a board member, you're really an advisor. You can hire and fire the CEO, and your most important function is making sure the leadership is right in the company. When it ever gets to a point where a board is overseeing micro details or second-guessing what the VP of marketing or sales is doing, then you've got a problem, probably with your CEO, and you've got to address that."

The role of the VC, however, and the way s/he allocates time, may vary in different geographies. In India, for instance, the ecosystem for start-ups is in its early stage of development, and venture capitalists need to provide operational support to start-ups to help overcome problems that are not faced in the U.S. Prashanth Prakash, a partner in Accel Venture Partners' India office noted that in comparison with his U.S. partners, "we have a very much more operational relationship, where we meet the company almost every week."

One irony of working with portfolio companies is that in many cases the venture capitalist spends the most time working with the poorest investments. Brody observed: "At some point, you recognize that the best-run companies need you the least. And so, one of the confounding things about the job is you spend the most time with the worst companies, that have generally the poorest outcomes."

While many early stage investors try to quickly cull companies that do not work out, Fenton is an example of an investor who refused to give up on a company, even after the entrepreneurs had left, devoting substantial time to the effort. He described the fate of two of his investments:

I thought to myself, I have committed to this company. I will not let them down. I will be there for them. I will attract people. I will recruit. I will do whatever it takes in an irrational way. My partners, I'm sure, would have been happy for me to just declare defeat and move on and take a few cents on the dollar.

We sold both of those companies for about two times our money, and that to me is failure, because it's eight years of hard labor, where you didn't really have a big impact. But it's also success in that we fought, and take it how you want, we reached a summit. It might have been pretty small one, but we didn't get a 'did not finish.' We didn't walk off the field.

Recruiting and Organizational Issues

One of the most important activities of VCs in support of portfolio companies is to help recruit personnel. An early stage company requires people who are highly skilled in their areas of expertise, but who are flexible enough to take on new and unexpected challenges, are doggedly persistent in the face of seemingly overwhelming obstacles, and can be effective with a minimum of support infrastructure. Finding the right people to staff early stage companies is particularly critical—each person must carry at least his/her own weight—there is no excess capacity to cover for mediocre performers. Helping companies recruit can take a substantial amount of a VC partner's time, particularly if several portfolio companies have active searches underway at the same time.

Fenton observed that, "I spend an equivalent amount of time typically [recruiting and in board meetings]; I'd say it's probably six to eight hours a week recruiting. It's almost always at the VP level. Recruiting is both sometimes calling a candidate who may not be in the process to encourage them to engage. Typically, it's doing the hour-long interview, [in] which I spend a lot of time trying to understand the organic fit between that person and the opportunity."

Brody reflected on the importance of recruiting, saying, "Being able to help recruiting—sometimes it's a CEO, but oftentimes it's a VP in engineering, or VP of sales, or VP of marketing who comes in and makes an immediate impact on the company. I always feel like my best purpose is to either get a CEO in there who knows what he's doing, if it isn't the guy that you already back, or help him build a team so that I'm out of a job."

A related challenge is transitioning the organization from a company solely run by the founders to a one with a broader management team. In some companies, though certainly not all, this may involve bringing in a CEO or COO to complement the original founder, or may result in the founder leaving the company. In companies where this is required, Gouw Ranzetta described the process as "the most time-consuming organization change." She observed that it begins with "weeks or months of daily or weekly discussions about how the company is evolving, scaling rapidly, and the new management challenges this poses to the founder CEO." This presents a difficult situation for the founder CEO, even in the best of circumstances—in order for the company to flourish, the founder must relinquish some, or all, control of a company that s/he has built from a concept, and for which s/he feels as a parent towards a child. Gouw Ranzetta noted: "The conflicting emotions brought on by balancing personal ego against the greater good of the company usually results in many stops and starts before the recruiting process actually begins."

As a board member who has been through this before, you become part coach, recruiter, and business psychologist.” Sometimes a highly visible example will help founders see a way forward: “We sometimes hear ‘I want you to help me find my Sheryl Sandberg [COO at Facebook],’ or ‘I want to become chairman, like Reid Hoffman [at LinkedIn], and we will find our Jeff Weiner [LinkedIn CEO].”

In addition to helping portfolio companies find people to fill specific needs, partners continually meet with people who may be good additions to management teams in the future. However, as the number of companies in a VC’s portfolio grows, most of the time spent meeting people is related to recruiting for positions in these companies because there is a high likelihood that at least one portfolio company will be recruiting at any given time.

Event-Driven Activities

In addition to these ongoing activities, VCs have episodic activities supporting portfolio companies. For instance, a recently funded company might be preparing its next year’s budget, which will be approved by the board a month later. Long before the board meeting, management may want to discuss the budget in detail with its new VC board member. This can lead to a thorough review and discussion of the budget, the product roadmap, the hiring plan, and other aspects of the plan.

Other event-driven activities related to portfolio companies include follow-on financing rounds and exits of existing investments.

Follow-On Financing

Venture-backed companies typically raise capital every 1 to 2 years until they achieve sustained positive cash flow and no longer require external capital. This may result in 3 to 5 rounds (or more) of venture financing. Planning for these follow-on financings, and actively helping with the process, is an important responsibility of a VC. This begins with the overall strategy and planning—discussing milestones that are likely to be met and that will provide a good time for a financing (due to demonstration of reduced risk and increased value to investors). This is usually when the VC sees that the funding market is attractive, or when other VCs are expressing interest in funding the company

An experienced venture capitalist will have been involved with far more follow-on financings than even the most prolific serial entrepreneur. The entrepreneur may have raised 3 to 5 venture rounds for each of his/her companies. However, a VC sitting on as many as 10 boards at any given time will have helped raise dozens of follow-on rounds. The VC will also be familiar with specific partners and venture firms that would be a good fit for a particular portfolio company. Which VC would be interested in a Series B round for a cloud software company? A Series C for a social commerce company? A strategic or later stage round? The CEO and VCs on the board will create a short list of 3 to 6 venture firms and specific partners and make introductions. Company management will then meet with these potential investors to pitch the opportunity.

Hanafi said, “I spend a lot of time talking with other venture capitalists about my portfolio companies. I think developing the funding strategy with entrepreneurs, and making that happen,

[is part of our job]. It's part of our job in the venture world to stay connected to other VCs and make those introductions, and make sure those companies get funded."

As an existing investor, the VC will not participate in the meeting between the portfolio company and prospective new investors, but will meet with management in advance to help review the proposed presentation and other materials, and to provide feedback and suggest modifications. The company may even give the pitch to the partners of one or more of its VC investors as a "dry run," and also to get the formal investment approval from the existing investor to take its *pro rata* share of the new funding round.

After meeting with management and hearing the funding pitch, potential new investors will likely reach out to existing VC board members throughout the evaluation process to provide feedback to the company and its management, discuss why the current investor made its investment, learn about its experience with the company, and learn how the funding is proceeding. This provides the existing venture investors with the opportunity to help guide and shape the fundraising process—for instance setting the time frame for when prospective investors expect term sheets, how competitive prospective investors will be to participate, and price expectations.

Also, the existing venture investor must make its investment decision on each follow-on financing, requiring some degree of due diligence, and possibly a presentation to the firm's partners. A potential follow-on investment can be offensive (intended to enhance the firm's ownership position in a promising company), defensive (protecting an existing position), or a decision not to invest. As an existing investor, the firm has an ongoing relationship, and detailed knowledge of the company, so the decision to make a follow-on investment is generally a less time-consuming process than the decision to make the initial investment.

Mergers, Acquisitions, and IPOs

At some point, often as long as seven or more years after the initial venture investment, VCs liquidate their investment in a portfolio company, typically through selling (or merging) with another company, or selling to the public through an initial public offering.

When a company is struggling, the venture capitalist has three choices: shut the company down, continue to fund it, or sell it to another company (typically at a loss). Portfolio companies are seldom shut down completely. At some point, proactively seeking a buyer may be preferable to continuing to fund the company. In this case the VC board members often have relationships with the most likely buyers (in some cases having sold companies to them in the past), and can provide introductions. If one or more serious bidders emerge, an investment bank may be engaged to attempt to create an auction and optimize the sale price. Venture investors may provide interim funding, either through a new round, or (more likely) through bridge loans to fund the company until a sale can be consummated.

Portfolio companies that are performing well may also be sold to other private or public companies to achieve liquidity for venture investors—in this case for valuations that provide an attractive return to the venture investor (though typically less than those achieved through an IPO). This became more common in the 2000s than previously, due to the relatively poor IPO market.

The VC will be involved in evaluating the wisdom of a proposed purchase deal (whether solicited or as the result of an unsolicited approach by an interested party), or in evaluating attractive target companies that a portfolio company may be interested in acquiring, and with investment banks, as described above. The venture capitalist will also help the company work with lawyers and bankers in negotiating terms and other details. Jarve related his experience with the recent acquisition of a portfolio company: “We scheduled a board meeting for 5:30 p.m. every single night. We blocked out every single one of those evenings because we had a lot of critical terms to negotiate.”

When a company is planning an IPO, the VC will likely participate in recruiting the CFO, and in providing introductions and input on which banks to consider, key criteria for making the selection, data on underwriter economics, and the final selection of the underwriting syndicate.

FIRM MANAGEMENT

While VCs invest in, and provide advice to, many other companies, they also manage their own firm. Critical aspects of firm management performed by partners involve recruiting and developing investment personnel, firm strategy (which sectors, stages, and geographies to invest in), fundraising, and limited partner relations.

Partner relations are an important dynamic in an effective venture firm. As described earlier, much of the work is done as an individual, but the investment decision, the most critical decision that a venture firm makes, is a group process. Benchmark dedicates the first portion of its Monday meeting to unstructured social interactions, intended to facilitate productive discussion later in the day. Fenton described this part of the meeting:

There is unstructured banter back and forth that you would describe as frivolous. People joke, making fun of each other, creating a rapport.... It makes it easier for you to both feel comfortable taking risks and being yourself, but also not overreacting when someone comes at you and says, ‘hey, you know you could do that better.’ Because you’re receptive. There is that fabric of trust. We aspire to have respect amongst the partners, but affection as well. So we invest heavily to create that. It costs time. So that’s the first half an hour, 45 minutes [of the weekly meeting].

As previously described, the bulk of the Monday meeting is generally devoted to hearing presentations by companies seeking funding, and discussing potential investments. Developments at portfolio companies, including needs for future follow-on funding, are also discussed. From the perspective of time allocation, Brody noted that, “Your Mondays are shot [due to the partner meeting]. So, you only have four days a week [to do everything else].”

Personnel

A critical function of firm management is personnel recruiting and development. At some firms, recruiting new partners is an event-driven process, for instance, when a firm decides to increase its focus on a particular sector and recruits a partner that is expert in that area. At others,

partners are promoted from within, and the recruiting process focuses on bringing in high-potential individuals at an early stage of their career, then providing mentorship as they grow in the profession.

The background of partners, and the selection and promotion processes, vary from firm to firm. In some cases partners have already been partners at other venture firms. Many have a number of years of relevant operating experience at a senior level, sometimes joining as partners, but often spending a few years learning the venture capital business from within before being made a partner. A few firms hire high-profile individuals, such as CEOs of large companies or other prominent individuals, directly as senior general partners, as in the case of Kleiner Perkins Caufield & Byers recruiting Al Gore in 2007 to help lead its initiative into cleantech.

The interaction between partners, and its importance when hiring or promoting new partners, depends to some degree on the structure of the partnership. Some venture firms are hierarchical, with a small number of senior partners and a larger number of junior partners, principals, and associates. Others are flatter—the extreme case being seen at Benchmark Capital, which has six partners who are equal in every way (e.g., compensation, power, influence over decisions) and no associates or other lower level investment professionals. In flat organizations, good interpersonal dynamics are especially important—as seen by Benchmark’s practice of dedicating the first part of their Monday meetings to unstructured interactions. Fenton described their interpersonal dynamic as “more like a jazz band than a marching band.” If Benchmark were to bring on a new partner, interpersonal considerations would be much more critical than would be the case at a more hierarchical firm.

Firm Strategy

Another important aspect of firm management is strategy. While the firm advises its portfolio companies about their strategy, it must also develop and execute its own strategy. Expansion, entering new fields, changing the focus or stage of investment, or adding staff, should not happen by accident, but rather as part of a well-conceived business strategy.

For instance, a firm may consider entering a sector that it has previously not participated in, or an adjacent sector, such as a firm that previously invested in networking infrastructure deciding to enter mobile applications, cloud computing, or clean technologies. The firm may make a strategic decision to change its stage of investment, such as creating a program to make seed stage investments, or raising a growth stage fund. It may consider expanding into a new geography—as in the case of Silicon Valley venture firm deciding to invest in China. Such a decision raises additional issues: Does the firm build its own presence in China, does it partner with a Chinese firm, or does it participate remotely by flying in and out of China from Silicon Valley?

While these issues are sometimes discussed in Monday partner meetings, several VC partners commented that a serious discussion of firm strategy is best done away from day-to-day operational pressures. To achieve this, some firms hold day-long offsite meetings twice a year to focus on firm strategy. This can include review of investment strategy, new business segments to pursue, recruitment of additional partners to enhance targeted segments, geographic expansion, or other matters. The partnership model, which serves the firm well in providing many perspectives when evaluating potential investments, can make these discussions a

challenge. One VC noted that at these meetings, “oftentimes it’s 10 guys yelling at each other.” As Brody observed, for making decisions on the firm’s direction, the partnership structure “frankly is not that efficient. But [the work] gets done. And put it like this, if we were really good managers, we’d be entrepreneurs, not venture capitalists.”

Fundraising and Investor Relations

Most venture firms raise a new fund every three to four years. Investors in venture capital funds are limited partners, typically institutional investors such as endowments, foundations, and pension funds. (Some firms accept relatively smaller investments from individuals who are prominent in fields of interest, and serve as resources for deal flow and advice. Sometimes these individuals go on to take leadership roles with portfolio companies.)

Historically, successful, established firms spent little time fundraising—existing limited partners would participate in the new fund, so the process is relatively simple, taking anywhere from a few weeks to several months. By 2012, however, the landscape had largely changed. The financial shock of 2008, and the relatively poor returns produced by many venture funds, had caused many institutions to redirect much of the money that had previously been invested in venture capital. Wood observed that, “[Fundraising is] becoming increasingly important because some of the sources of capital that went to fuel the venture industry have dried up and gone away. Most of the university and college endowments have pulled out. Some of the funds-of-funds have gone out of business. So there’s not as much capital there. As a result, there will be fewer venture funds.”

Firms vary in how fundraising efforts are assigned. In some firms, all general partners participate in each fundraising cycle. In others, certain partners are responsible for all fundraising, and the others are never involved in the process. Still others rotate the fundraising responsibility, with different partners leading the effort for each cycle. However, the general trend is for most, if not all, partners to be involved to some degree in fundraising and the relationship with limited partners. At Alloy, for instance, fundraising was the responsibility of just a few. However, Hanafi observed that this was evolving: “It’s becoming more balanced across all the partners. We all have our relationships and spend time with LPs and working with CFOs.”

Similarly, Wood observed that, “[Institutional investors] want to talk to the partners. They want to look in the eyes of the [venture] investors. They don’t want to be assigned a person who is the designated fundraiser but doesn’t really know the business. They want to hear about your thought process. So that ends up taking time. They visit us in person, understand our approach and strategy, talk to our company founders, and study our portfolio companies.”

Venture firms have annual meetings for their limited partners. At these meetings, the venture firm discusses its portfolio companies, often including presentations by CEOs of companies added to the portfolio during the year, or those who are making exceptional progress.

A few venture firms also hold quarterly meetings. They may also meet periodically with their limited partners, such as when an out-of-town limited partner is in town, or when a general partner travels to a city where a limited partner is based on other business, and pays a courtesy

call. As with fundraising, different firms handle these courtesy calls in different ways—a particular general partner might be the prime contact with a specific limited partner; specific partners may be responsible for all courtesy calls; or all partners may be expected to make courtesy calls.

SUMMARY

A venture capitalist's day is varied and full. Brody reflected, "Everything's like: you've got to meet this company; you've got to hire this guy. Everything's interrupt-driven and you're just scrambling a hundred percent, fighting fires. My day is fighting fires, frankly. You wake up in the morning, and there are three new things that you didn't have yesterday that are urgent."

Jarve compared his workday to an observation by Intel founder Andy Grove: "[Grove wrote that] he would go home at the end of the day when he was tired. There was always more stuff to do. But, eventually you're just tired, you're just not as productive, and then you go home. And I would say, similarly, if you're a venture capitalist, for every one of my companies, there's always something else I could do."

Exhibit 1

Venture Firms Represented by Partners Quoted

The following brief descriptions of the firms represented by the venture capitalists interviewed are current as of mid-2012. See firm websites for additional information.

Accel Partners: An early and growth phase investor with offices in the Silicon Valley, as well as in New York, London, China, and India. Past investments include: Facebook, Groupon, Veritas, AdMob, Redback Networks, UUNet, Dropbox, and Baidu. Accel has 11 partners and 9 associates in the United States. Accel has 11 investment professionals in its London office, and six in China. The India office has four partners and four associates, and focuses on very early stage investments. Website: www.accel.com.

Alloy Ventures: A diversified fund whose investment staff consists of six general partners, two venture partners and one associate, focusing on early stage and growth investments in life sciences and information technologies. Representative investments include: Barrx, Crux, Genomatica, Mavenir, Optimedica, Restoration Robotics, Siluria, Teradici, Verinata, and Yousendit. Website: www.alloyventures.com.

Draper Fisher Jurvetson (DFJ): DFJ has managed \$4 billion, and made more than 400 portfolio investments since its founding in 1985. The firm invests in companies led by exceptional entrepreneurs at seed, early, and growth stages. DFJ has invested in emerging technology markets including consumer and enterprise technology, social, cloud, media, energy, and other disruptive technologies. Portfolio investments include: AdMob, Baidu, Box.net, Hotmail, Skype, SolarCity, SpaceX, Tesla Motors, Twitter, Tumblr, and Yammer. DFJ and DFJ Growth together have 12 managing directors (general partners), six venture partners, and ten other investment professionals (including associates), incorporating extensive experience in operating positions and as entrepreneurs, in addition to venture capital. DFJ has created the DFJ Global Network, a federation of 16 independent venture funds on four continents that cooperate on investment diligence and co-investing. Website: www.dfj.com.

Palo Alto Venture Partners (PAVP): Founded in 1996, with \$150M in capital under management. The venture firm focuses on early stage technology companies, and is typically the first institutional investor in its portfolio companies. It is interested in a wide range of sectors from cloud-based computing to online consumer to business security. PAVP has backed companies at their earliest stage that later became public companies (such as esurance, CareerBuilder, AvantGo, and Vicinity) as well as companies that had very fast growth trajectories and were acquired before they had a chance to go public (such as when.com and DemandForce). Website: www.pavp.com.

Benchmark Capital: An early stage investor, with six equal partners and no associates. The firm's simplified, craft-like approach allows the partnership to reach unparalleled depth of relationship with a small number of the elite companies in the information technology world. Past investments included: Dropbox, eBay, Jamba Juice, Juniper Networks, Twitter, Uber, Yelp, and ZipCar. Website: www.benchmark.com.

Menlo Ventures: Provides capital for seed through growth stage technology companies in the consumer and enterprise sectors. Areas of interest in 2012 include mobile (investments in Siri, MobiTV, and TeleNav), enterprise storage (3Par, Coraid, and Avere Systems), communications (Acme Packet, Cavium Networks, and Q1Labs), and consumer (Carbonite, Roku, and fab.com). In mid-2012, the firm had eight managing directors, two principals, one venture advisor, and two associates. Founded in 1976, Menlo Ventures portfolio includes 70 public companies and more than 100 mergers and acquisitions. It has \$4 billion under investment, and is in its 11th fund, of \$400 million with \$20 million allocated to the Menlo Talent Fund for making rapid seed stage investments. Website: www.menlovc.com.

Redpoint Ventures: Seed, early stage and growth investors, with a total of 11 partners (one based in China). Past investments include: MySpace, Netflix, TiVo, and Juniper. Based in Silicon Valley, with offices in Shanghai and Beijing, and additional investments in Brazil. Website: redpoint.com.

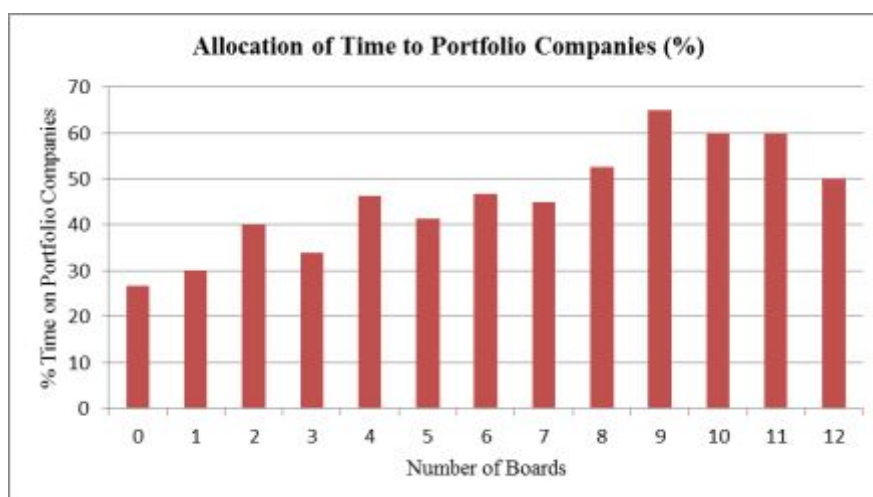
Sources: Venture capitalists interviewed and firm websites.

Exhibit 2

2003 Survey on Allocation of Time by Venture Capitalists

The following data is from a survey of capital and private equity partners conducted in 2003. The number of board memberships typically held by experienced venture capitalists has increased (with a corresponding increase in time spent supporting portfolio companies) since this survey was conducted, according to venture capitalists interviewed for this note—experienced venture capitalists in 2012 often sit on about 10 boards.

The amount of time spent supporting portfolio companies increased with the number of board memberships, as shown below:



The average number of board memberships of the 26 survey respondents in 2003 was 4.78. The average time spent on various activities was reported as:

Activity	Time Allocation (%)
Time spent with portfolio companies	42.46
Time spent sourcing new investments	22.96
Time spent on due diligence	22.06
Distribution of due diligence time:	
Researching market	18
Researching team	16
Researching product/technology	15
Researching strategy/business model	10
Researching operating plan/financials	10
Negotiating deal terms	9

Source: Christopher Rust, “The Role of Human Capital Assessment (HCA) in Venture Capital Due Diligence,” Master’s Thesis (and accompanying spreadsheets) for the Engineering Management College of Engineering and Applied Science, University of Colorado, Boulder, November 2003.